Strategic Report,

Report of the Directors and

Audited Financial Statements

for the Year Ended 30 June 2023

for

BIRMINGHAM CITY FOOTBALL CLUB LIMITED

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BIRMINGHAM CITY FOOTBALL CLUB LIMITED

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BIRMINGHAM CITY FOOTBALL CLUB LIMITED

Company Information
for the year ended 30 June 2023

Directors:	W Zhao T A Wagner A Shannahan M Alvarez K Kneisly G Zheng G Cook
Registered office:	St Andrews Stadium @ Knighthead Park Small Heath Birmingham B9 4NH
Registered number:	00027318 (England and Wales)
Auditors:	Cooper Parry Group Limited CUBO Birmingham Office 401, 4th Floor Two Chamberlain Square Birmingham West Midlands B3 3AX
Bankers:	HSBC Bank Limited 130 New Street Birmingham B2 4JU

Strategic Report
for the year ended 30 June 2023

The Directors present their Strategic Report and Financial Statements for the year ended 30 June 2023.

The principal and continuing activity of the company is that of a football club, namely Birmingham City Football Club.

Financial and operating review
The loss for the year before tax of £25.4m represents a slight increase of approximately 2.15% as compared to the loss of approximately £24.8m for the corresponding period last year.

For the twelfth consecutive year BCFC played in the Championship Division of the English Football League (EFL). Following a finish of 20th position in the EFL Championship for the season 2021/22, the squad were able to make a relatively good start to the 2022/23 season. Despite the good start to the season, results in the second half of the campaign saw the team in the bottom half of the table, ultimately finishing 17th.

The Birmingham City Football Academy continued to operate at Category 2 status under the Elite Player Performance Plan during the 2022/23 season. Several academy trained players continued to participate in the first team squad throughout the 2022/23 season.

The players, football management team, staff and directors would like to thank the fans for their loyal and continued support.

Acquisition of players
The acquisition of players and their related payroll costs are deemed the core activity risk and, whilst assisting the Manager in improving the playing squad, the Board is mindful of the pitfalls that are inherent in this area of the business. The aim is therefore to manage these costs whilst being as competitive as possible within the Club's financial constraints.

Key performance indicators (KPIs)
Key performance indicators are used to measure and evaluate performance against targets and monitor various activities throughout the company. The main key performance indicators employed in the company are:

	2023	2022
	£'000	£'000
Revenue levels (football related and other)	18,986	17,550
Loss from operations	24,376	23,823
Staff costs (player related and other)	27,628	31,112
	No.	No.
Average attendance levels	16,758	16,152

Prior to the beginning of the 21/22 season, it was announced that major repair works were needed to bring St Andrews stadium back to a fit state to meet health and safety regulations. This has resulted in the lower tiers in the Tilton Road stand and Kop stand being closed for the whole season. Post year end, both stands have returned to a fit state and are therefore being utilised for matchdays

The Board monitor these key performance indicators on a monthly basis. Acceptable performance and target KPI's are set by the group's budget and the group's primary internal performance measure is against budgets

Principal risks and uncertainties
The directors of Birmingham City Football Club Limited have carried out a robust assessment of the principal risks facing the company, including those that would threaten its business model, future performance, solvency, or liquidity.

Funding and going concern

On 13 July 2023, the company's ultimate parent undertaking, ZO Future Group ("ZO"), formerly known as Birmingham Sports Holdings Limited ("BSHL"), announced that Knighthead Capital Management LLC ("Knighthead Capital"), through its affiliate Shelby Companies Limited had acquired 45.98% of the issued share capital of its immediate parent Birmingham City Limited ("BCL"). Knighthead Capital acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from Oriental Rainbow Investments Limited ("ORIL").

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%).

The directors have received written confirmation from Knighthead Capital that continued financial support will be provided for at least the next 12 months.

At the balance sheet date funding of £80.1m has been provided by BCL to the company this amount is shown as due to the ultimate parent undertaking within one year.

Funding and going concern (continued)
The company does not have an overdraft facility and during the year its day to day funding requirements were supported by BCL and the ultimate parent undertakings, ZO and ORIL. From 13 July 2023 onwards, the day to day funding requirements were supported by BCL and Knighthead Capital.

The directors have prepared detailed cash flow forecasts for the period to 29 February 2025 as part of the longer term forecasts prepared for the company. The forecasts show that BCFC needs additional funding of around £58m from Knighthead Capital for the period from July 2023 to February 2025.

Following the year end, the company and its parent, BCL, entered into a facility agreement with funding available of up to £50m. The facility is available for a period of 7 years from the date of the agreement and attracts a fixed interest rate of 11.90%.

The directors of the company and Knighthead Capital have indicated that they expect that the group will have sufficient working capital to be able to advance funds for BCFC to meet its financial obligations as and when they fall due for the next twelve months.

Extracts from BSHL financial statements for the year ended 30 June 2023
The Group incurred a loss attributable to owners of the Company of approximately HK$25,657,000 for the year ended 30 June 2023 and as at 30 June 2023 the Group had net current liabilities of approximately HK$360,887,000. These conditions indicate the existence of a material uncertainty which may cast significant doubt on the Group's ability to continue as a going concern. Therefore, the Group may be unable to realise its assets and discharge its liabilities in the normal course of business.

The Directors are of the opinion that the Group will have sufficient working capital to meet its financial obligations as and when they fall due for the next twelve months after taking into consideration that (i) the Group has a loan facility from a substantial shareholder of the Company, Trillion Trophy Asia Limited ("Trillion Trophy") under which an unsecured revolving loan facility up to HK$250,000,000 has been granted to the Company; (ii) the Group has a loan facility from Oriental Rainbow Investments Limited ("Oriental Rainbow"), a non-controlling shareholder of subsidiaries of the Company and a wholly-owned subsidiary of a substantial shareholder of the Company under which an unsecured revolving loan facility up to HK$300,000,000 has been granted to the Company; (iii) the Group has a loan facility from Great Summit Ventures Limited ("Great Summit"), a wholly-owned subsidiary of a substantial shareholder of the Company under which an unsecured revolving loan facility up to HK$100,000,000 has been granted to the Company; and (iv) the Group has a loan facility with aggregate amount of approximately HK$4,292,000 from a third party lender.

As at 30 June 2023, the total carrying amount of the borrowings under the above facilities of the Group was approximately HK$180,421000. As at 30 June 2023, the Group had approximately HK$473,871,000 undrawn borrowing facilities available.
Accordingly, the Directors are of the opinion that it is appropriate to prepare the consolidated financial statements on a going concern basis. Should the Group be unable to continue as a going concern, adjustments would have to be made to the consolidated financial statements to adjust the value of the Group's assets to their recoverable amounts, to provide for any further liabilities which might arise and to reclassify non-current assets and liabilities as current assets and liabilities, respectively.

English Football League rules and regulation
During the year under review, the Company entered into an Agreed Decision with the English Football League (EFL) in relation to charges issued on 20 February 2023. The Company cooperated fully with the EFL throughout the investigation and has accepted a two-point deduction, suspended until the end of the 2023/24 season. There were no other material breaches of or non-compliance with the applicable laws and regulations by the Company.

On behalf of the board:



.....
Director: Garry Cook

Date: 1 March 2024

Report of the Directors
for the year ended 30 June 2023

The directors present their report with the financial statements of the company for the year ended 30 June 2023.

Dividends
No dividends will be distributed for the year ended 30 June 2023.

Directors
The directors shown below have held office during the whole of the period from 1 July 2022 to the date of this report.

G Zheng
W Zhao

Other changes in directors holding office after the year end but prior to this report are as follows:

C K Yiu – resigned 13 July 2023
Y Wang – resigned 13 July 2023
T A Wagner – appointed 13 July 2023
A Shannahan – appointed 13 July 2023
M Alvarez - appointed 13 July 2023
K Kneisly - appointed 13 July 2023
G Cook - appointed 13 July 2023
L Torrado-Malley – appointed and resigned 13 July 2023

Financial instruments
The company's operations expose it to a variety of financial risks including the effects of changes in interest rates on debt, credit risk and liquidity risk.

The company does not have material exposures in any of the areas identified above but can use derivative instruments to manage these exposures.

The company's principal financial instruments comprise sterling cash and bank deposits and loans together with trade receivables and trade payables that arise directly from its operations.

The main risks arising from the company's financial instruments can be analysed as follows:

Credit risk

The company's principal financial assets are bank balances, cash and trade receivables. The company's credit risk is primarily attributable to its trade receivables. The amounts presented in the statement of financial position are net of allowances for doubtful debts, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The company has no significant concentration of credit risk, with exposure spread over a large number of counterparties and customers.

Liquidity risk

The company's policy has been to ensure continuity of funding through operating within its banking facilities and to match borrowing against the useful life of assets purchased.

Foreign currency risk

The company has no significant exposure in its trading operations to the risk of changes in foreign currency exchange rates.

Employee involvement
The company places considerable value on the involvement of its employees and recognises the importance of good communication within the workplace.

The quality and commitment of our people have played a major role in our business operations. This has been demonstrated in many ways. They have shown flexibility in adapting to changing business environments and new ways of working. Employees' performance is aligned to the company's goals through an annual performance review process that is carried out with all employees.

Disabled persons

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Environment

The company's policy with regard to the environment is to ensure that we understand and effectively manage the actual and potential environmental impact of our activities. Our operations are conducted such that we comply with all legal requirements relating to the environment in all areas where we carry out our business. During the period covered by this report the company has not incurred any fines or penalties or been investigated for any breach of environmental regulations.

Events after the statement of financial position date

Transfers of player registrations subsequent to 30 June 2023, taking into account applicable costs, resulted in a net £2,238,000 payable by the company (2022 - £1,319,000 payable by the company).

On 4 July 2023, the company re-registered from a Public Limited Company to Private Limited.

On 13 July 2023, the company's ultimate parent undertaking ZO announced that Knighthead Capital, through its affiliate Shelby Companies Limited had acquired 45.98% of the issued share capital of the immediate parent Birmingham City Limited (BCL). Knighthead Capital acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from ORIL.

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%).

As part of the Share Purchase Agreement (SPA), it was agreed that a debt reorganisation would take place immediately before completion. The Deed of Debt Reorganisation was entered into between ZO, ORIL and BCL, the debt assignment of £22.5m owing from BCL to ORIL and was reassigned to ZO for the consideration of £1. Following the debt assignment BCL had outstanding loan balances of £1m due to ZO, of which £100m of the amount owing from BCL to ZO was capitalised into one ordinary share of £0.10 each. The remaining amount was assigned to Knighthead. The amounts outstanding between BCFC and BCL remain unchanged.

There has also been significant infrastructure work taking place at St. Andrews Stadium, Wast Hills training ground and the Elite Performance & Innovation Centre. This has amounted to £8.3m of spend post year end.

Statement of directors' responsibilities
The directors are responsible for preparing the Strategic Report, the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with UK-adopted International Financial Reporting Standards and applicable UK law. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state that the financial statements comply with IFRS;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

They are further responsible for ensuring that the strategic report, report of the directors and other information included in the annual report and financial statements is prepared in accordance with applicable law in the United Kingdom.

Statement as to disclosure of information to auditors
So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Auditors
The audit business of Hanes Watts Birmingham LLP was acquired by Cooper Parry Group Limited on 14 November 2023. Haines Watts Birmingham LLP has resigned as auditor and Cooper Parry Group Limited has been appointed in its place.

The auditors, Cooper Parry Group Limited, are deemed to be re-appointed under section 487(2) of the Companies Act 2006.

On behalf of the board:



.....
Director: Garry Cook

Date: 1 March 2024

Report of the Independent Auditors to the Members of Birmingham City Football Club Limited

Opinion
We have audited the financial statements of Birmingham City Football Club Limited (the 'company') for the year ended 30 June 2023 which comprise the Statement of Profit or Loss and Other Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity, the Statement of Cash Flows and Notes to the Statement of Cash Flows, Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and UK-adopted international accounting standards.

In our opinion the financial statements:
- give a true and fair view of the state of the company's affairs as at 30 June 2023 and of its loss for the year then ended;
- have been properly prepared in accordance with UK-adopted international accounting standards; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion
We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty relating to going concern
We draw attention to note 1 on page 15 and 16 of the financial statements, which indicates that the company incurred a net loss of £25.4m during the year ended 30 June 2023 and, as of that date, the company's current liabilities exceeded the total assets by £62.5m and it's total liabilities exceeded total assets by £71.4m. As stated in note 1, funding of around £58m is required to February 2025 from Birmingham City Limited (BCL) the parent company, the ultimate parent company and Knighthead Capital. These events or conditions, along with other matters as set forth in note 1, indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the director's assessment of the entity's ability to continue to adopt the going concern basis of accounting included a review of the commitments they have received from BCL and Knighthead Capital.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information
The directors are responsible for the other information. The other information comprises the information in the Strategic Report and the Report of the Directors, but does not include the financial statements and our Report of the Auditors thereon.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006
In our opinion, based on the work undertaken in the course of the audit:
- the information given in the Strategic Report and the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Report of the Directors have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Report of the Directors.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:
- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors
As explained more fully in the Statement of Directors' Responsibilities set out on page five, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a Report of the Auditors that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

We obtained an understanding of the legal and regulatory framework applicable to both the company itself and the industry in which it operates. We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our sector experience and through discussion with the directors and other management. The most significant were identified as the Companies Act 2006, IFRS, relevant tax legislation and EFL regulations.

We considered the extent of compliance with those laws and regulations as part of our procedures on the related financial statements. Our audit procedures included:

- making enquires of directors and management as to where they consider there to be a susceptibility to fraud and whether they have any knowledge or suspicion of fraud;
- obtaining an understanding of the internal controls established to mitigate risks related to fraud or non-compliance with laws and regulations;
- assessing the design effectiveness of the controls in place to prevent and detect fraud;
- assessing the risk of management override including identifying and testing journal entries;
- challenging the assumptions and judgements made by management in its significant accounting estimates.

Whilst our audit did not identify any significant matters relating to the detection of irregularities including fraud, and despite the audit being planned and conducted in accordance with ISAs (UK), there remains an unavoidable risk that material misstatements in the financial statements may not be detected owing to inherent limitations of the audit, and that by their very nature, any such instances of fraud or irregularity would likely involve collusion, forgery, intentional misrepresentations, or the override of internal controls.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our Report of the Auditors.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in a Report of the Auditors and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Cooper Parry Group Limited

Andrew Hughes FCA (Senior Statutory Auditor)
for and on behalf of Cooper Parry Group Limited
CUBO Birmingham
Office 401, 4th Floor
Two Chamberlain Square
Birmingham
West Midlands
B3 3AX

Date: 01/03/2024

BIRMINGHAM CITY FOOTBALL CLUB LIMITED

Statement of Profit or Loss and Other Comprehensive Income
for the year ended 30 June 2023

	Notes	Club operations £	Player amortisation impairment and trading costs £	Total 2023 £	Total 2022 £
Continuing operations					
Revenue	3	18,985,683	-	18,985,683	17,550,213
Operating expenses		(42,482,181)	(3,814,576)	(46,296,757)	(48,464,172)
Other operating income		804,000	-	804,000	3,979,758
Operating loss	6	(22,692,498)	(3,814,576)	(26,507,074)	(26,934,201)
Net profit on sale of players' registrations				2,131,379	3,110,992
Loss from operations				(24,375,695)	(23,823,209)
Finance income	5			301,404	746,596
Finance costs	5			(1,291,852)	(1,755,382)
Loss before taxation				(25,366,143)	(24,831,995)
Taxation	7			-	-
Total comprehensive loss attributable to equity shareholders				**(25,366,143)**	**(24,831,995)**

All activities are from continuing operations.

The notes form part of these financial statements

Statement of Financial Position
30 June 2023

	Notes	2023 £	2022 £
Assets			
Non-current assets			
Intangible assets	8	5,621,412	6,380,199
Property, plant and equipment	9	12,419,994	10,790,203
Investments	10	1	1
Trade and other receivables	12	1,351,234	1,785,643
		19,392,641	18,956,046
Current assets			
Inventories	11	-	-
Trade and other receivables	12	10,296,156	16,436,690
Cash and cash equivalents	13	1,633,007	1,451,254
		11,929,163	17,887,944
Total assets		31,321,804	36,843,990
Equity			
Shareholders' equity			
Called up share capital	14	58,830,838	58,830,838
Share premium	15	207,096	207,096
Capital redemption reserve	15	750	750
Other reserves	15	14,731,066	14,731,066
Capital contribution reserve	15	7,970,000	-
Accumulated deficit	15	(153,116,374)	(127,750,231)
Total deficit		(71,376,624)	(53,980,481)
Liabilities			
Non-current liabilities			
Trade and other payables	16	2,169,948	2,340,489
Financial liabilities - borrowings			
Interest bearing loans and borrowings	17	6,715,062	9,965,216
		8,885,010	12,305,705
Current liabilities			
Trade and other payables	16	7,844,667	8,918,463
Contract liabilities		2,233,383	2,507,118
Financial liabilities - borrowings			
Interest bearing loans and borrowings	17	83,735,368	67,093,185
		93,813,418	78,518,766
Total liabilities		102,698,428	90,824,471
Net liabilities		71,376,624	53,980,481

The financial statements were approved by the Board of Directors and authorised for issue on 1 March 2024 and were signed on its behalf by:

.....
Director: Garry Cook

The notes form part of these financial statements

BIRMINGHAM CITY FOOTBALL CLUB LIMITED
Statement of Changes in Equity
for the year ended 30 June 2023

	Called up share capital £	Profit and loss £	Share premium £
Balance at 1 July 2021	6,252,838	(102,918,236)	207,096
Changes in equity			
Total comprehensive expense	-	(24,831,995)	-
Issued share capital	52,578,000	-	-
Balance at 30 June 2022	58,830,838	(127,750,231)	207,096
Changes in equity			
Capital contribution received	-	-	-
Total comprehensive expense	-	(25,366,143)	-
Balance at 30 June 2023	58,830,838	(153,116,374)	207,096

	Capital contribution reserve £	Capital redemption reserve £	Other reserves £	Total equity £
Balance at 1 July 2021	-	750	14,731,066	(81,726,486)
Changes in equity				
Total comprehensive expense	-	-	-	(24,831,995)
Issued share capital	-	-	-	52,578,000
Balance at 30 June 2022	-	750	14,731,066	(53,980,481)
Changes in equity				
Capital contribution received	7,970,000	-	-	7,970,000
Total comprehensive expense	-	-	-	(25,366,143)
Balance at 30 June 2023	7,970,000	750	14,731,066	(71,376,624)

The notes form part of these financial statements

BIRMINGHAM CITY FOOTBALL CLUB LIMITED

Statement of Cash Flows
for the year ended 30 June 2023

	Notes	2023 £	2022 £
Cash flows used in operating activities			
Cash used in operations	1	(21,637,145)	(20,847,587)
Interest paid		(59,653)	(772,649)
Lease interest paid		(1,232,199)	(982,733)
Net cash used in operating activities		(22,928,997)	(22,602,969)
Cash flows from investing activities			
Purchase of intangible fixed assets		(2,180,552)	(4,264,276)
Purchase of tangible fixed assets		(2,877,567)	(1,235,438)
Sale of intangible fixed assets		6,505,436	14,975,929
Interest received		301,404	746,596
Net cash from investing activities		1,748,721	10,222,811
Cash flows from financing activities			
New loans in year		29,379,198	24,255,471
Other new loans in year		-	230,000
Loan repayments in year		(7,477,647)	(11,439,339)
Payment of lease liabilities		(539,522)	(569,741)
New finance leases		-	19,608
Net cash from financing activities		21,362,029	12,495,999
Increase/(decrease) in cash and cash equivalents		181,753	115,841
Cash and cash equivalents at beginning of year	2	1,451,254	1,335,413
Cash and cash equivalents at end of year	2	1,633,007	1,451,254

The notes form part of these financial statements

Notes to the Statement of Cash Flows
for the year ended 30 June 2023

1. **Reconciliation of loss before income tax to cash used in operations**

	2023	2022
	£	£
Loss before income tax	(25,366,143)	(24,831,995)
Depreciation charges	1,247,776	1,379,101
Profit on sale of players' registrations	(2,131,379)	(3,110,992)
Amortisation charges	3,478,760	6,277,062
Finance costs	1,291,852	1,755,382
Finance income	(301,404)	(746,596)
	(21,780,538)	(19,278,038)
Decrease in inventories	-	33,986
(Increase)/decrease in trade and other receivables	2,527,869	(167,314)
(Decrease) in trade and other payables	(2,384,476)	(1,436,221)
Cash used in operations	(21,637,145)	(20,847,587)

2. **Cash and cash equivalents**

The amounts disclosed on the Statement of Cash Flows in respect of cash and cash equivalents are in respect of these Statement of Financial Position amounts:

Year ended 30 June 2023

	30/6/23	1/7/22
	£	£
Cash and cash equivalents	1,633,007	1,451,254

Year ended 30 June 2022

	30/6/22	1/7/21
	£	£
Cash and cash equivalents	1,451,254	1,335,413

The notes form part of these financial statements

1. Accounting policies

Statutory information
Birmingham City Football Club Limited is a private company, limited by shares, incorporated and domiciled in England and Wales. The address of Birmingham City Football Club Limited's registered office is St Andrews Stadium @ Knighthead Park, Small Heath, Birmingham, B9 4NH which is also the company's principal place of business.

Basis of preparation
The financial statements have been prepared in accordance with UK-adopted International Accounting Standards (UK-adopted IFRS).

The financial statements are presented in sterling which is the functional currency of the company and rounded to the nearest £.

The preparation of the financial statements requires management to make estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the date of the financial statements. If in the future such estimates and assumptions which are based on management's best judgement at the date of the financial statements, deviate from the actual circumstances, the original estimates and assumptions will be modified as appropriate in the year in which the circumstances change.

The company has taken advantage of exemption under IFRS 10 not to prepare consolidated accounts. The financial statements present information about the company as an individual entity and not about its group.

Birmingham City Football Club Limited is a wholly owned subsidiary of Birmingham City Limited and the results of Birmingham City Football Club Limited are included in the consolidated financial statements of Birmingham City Limited which are available on Companies House.

Basis of preparation: going concern

On 13 July 2023, the company's ultimate parent undertaking, ZO Future Group ("ZO"), formerly known as Birmingham Sports Holdings Limited ("BSHL"), announced that Knighthead Capital Management LLC ("Knighthead Capital"), through its affiliate Shelby Companies Limited had acquired 45.98% of the issued share capital of its immediate parent Birmingham City Limited ("BCL"). Knighthead Capital acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from Oriental Rainbow Investments Limited ("ORIL").

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%).

At the balance sheet date funding of £80.1m has been provided by BCL to the company this amount is shown as due to parent company within one year.

As part of the Share Purchase Agreement (SPA), it was agreed that a debt reorganisation would take place immediately before completion. The Deed of Debt Reorganisation was entered into between ZO, ORIL and BCL, the debt assignment of £22.5m owing from BCL to ORIL and was reassigned to ZO for the consideration of £1. Following the debt assignment BCL had outstanding loan balances of £128.3m due to ZO, of which £100m of the amount owing from BCL to ZO was capitalised into one ordinary share of £0.10 each. The remaining amount was assigned to Knighthead. The amounts outstanding between BCFC and BCL remain unchanged.

The company does not have an overdraft facility and during the year its day to day funding requirements were supported by the ultimate parent undertakings, ZO and ORIL. From 13 July 2023 onwards, the day to day funding requirements were supported by Knighthead Capital.

The directors have prepared detailed cash flow forecasts for the period to 29 February 2025 as part of the longer term forecasts prepared for the group. The forecasts show that BCFC needs additional funding of around £58m from Knighthead Capital for the period from July 2023 to February 2025.

The directors of the company and Knighthead Capital have indicated that they expect that the company will have sufficient working capital to be able to advance funds for BCFC to meet its financial obligations as and when they fall due for the next twelve months.

Extracts from BSHL financial statements for the year ended 30 June 2023
The Group incurred a loss attributable to owners of the Company of approximately HK$25,657,000 for the year ended 30 June 2023 and as at 30 June 2023 the Group had net current liabilities of approximately HK$360,887,000. These conditions indicate the existence of a material uncertainty which may cast significant doubt on the Group's ability to continue as a going concern. Therefore, the Group may be unable to realise its assets and discharge its liabilities in the normal course of business.

continued...

1. **Accounting policies – continued**

Basis of preparation: going concern (continued)

Extracts from BSHL financial statements for the year ended 30 June 2023 (continued)

The Directors are of the opinion that the Group will have sufficient working capital to meet its financial obligations as and when they fall due for the next twelve months after taking into consideration that (i) the Group has a loan facility from a substantial shareholder of the Company, Trillion Trophy Asia Limited ("Trillion Trophy") under which an unsecured revolving loan facility up to HK$250,000,000 has been granted to the Company; (ii) the Group has a loan facility from Oriental Rainbow Investments Limited ("Oriental Rainbow"), a non-controlling shareholder of subsidiaries of the Company and a wholly-owned subsidiary of a substantial shareholder of the Company under which an unsecured revolving loan facility up to HK$300,000,000 has been granted to the Company; (iii) the Group has a loan facility from Great Summit Ventures Limited ("Great Summit"), a wholly-owned subsidiary of a substantial shareholder of the Company under which an unsecured revolving loan facility up to HK$100,000,000 has been granted to the Company; and (iv) the Group has a loan facility with aggregate amount of approximately HK$4,292,000 from a third party lender.

As at 30 June 2023, the total carrying amount of the borrowings under the above facilities of the Group was approximately HK$180,421,000. As at 30 June 2023, the Group had approximately HK$473,871,000 undrawn borrowing facilities available.

Accordingly, the Directors are of the opinion that it is appropriate to prepare the consolidated financial statements on a going concern basis. Should the Group be unable to continue as a going concern, adjustments would have to be made to the consolidated financial statements to adjust the value of the Group's assets to their recoverable amounts, to provide for any further liabilities which might arise and to reclassify non-current assets and liabilities as current assets and liabilities, respectively.

The Club recorded a loss of approximately £25.4m for the year ended 30 June 2023, and has net liabilities of approximately £71m as at 30 June 2023. These conditions indicate the existence of a material uncertainty which may cast significant doubt about the company's ability to continue as a going concern, the validity of which is dependent upon the future funding available at a level sufficient to finance the working capital requirements of the club. The directors have considered the forecast of BCFC carefully and also confirmed with Knighthead Capital, the company's ability to obtain funding required as shown by the forecasts. The directors do however remain in the view that the company can obtain the required funding from Knighthead Capital and as a result, the directors consider it is appropriate to prepare the financial statements on a going concern basis.

New and revised IFRSs not yet adopted

The Company has not yet applied the new IFRSs that have been issued but are not yet effective. The Company has already commenced an assessment of the impact of these new IFRSs but is not yet in a position to state whether these new IFRSs would have a material impact on its results and financial position.

The accounting policies set out below have, unless otherwise stated, been applied consistently for the company to all periods presented in these financial statements.

Revenue recognition

Revenue represents income arising from sales to third parties and excludes transfer fees receivable and value added tax.

Revenue is measured based on the consideration to which the company expects to be entitled in a contract with a customer and excludes amounts collected on behalf of third parties. The company recognises revenue when it transfers control of a product or service to a customer. Depending on the terms of a contract and the laws that apply to that contract, a performance obligation can be satisfied over time or at a point in time.

(i) Season ticket and corporate hospitality revenue is recognised over the period of the football season as home matches are played.

(ii) Fixed elements of FA Premier League broadcasting contracts are recognised on a time basis over the duration of the football season. Appearance fees are accounted for as earned.

(iii) Sponsorship contracts are recognised over the duration of the contract, either on a straight line basis, or over the period of the football season, as appropriate, based on the terms of the contract.

(iv) Catering revenues are recognised on an earned basis.

(v) Revenue from the sale of branded products is recognised at the point of delivery when significant risks and rewards of ownership are deemed to have been transferred to the buyer.

continued...

1. **Accounting policies - continued**

Revenue recognition - continued

(vi) Sales of players' registrations are recorded at the date of signing of the contract for sale. Any costs incurred directly related to the sale are written off against profit on sale of player registrations as incurred. Contingent fees are only recognised upon the crystallisation of the contingent event.

Property, plant and equipment
Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses.

Depreciation is charged to the statement of comprehensive income, to write off the cost of the property, plant and equipment less estimated residual value, on a straight-line basis, over their estimated useful lives as follows:

Right of use asset - leasehold property	- Over the term of the lease
Right of use asset - fixtures and equipment	- Over the term of the lease
Right of use asset - motor vehicles	- Over the term of the lease
Freehold land	- Not depreciated
Freehold buildings	- Between 10 and 50 years
Long leasehold property improvements	- Shorter of lease or between 10 and 50 years
Fixtures and equipment	- Between 3 and 5 years
Motor vehicles	- 5 years

Taxation
Tax on the result for each period comprises current and deferred tax. Tax is recognised in the statement of comprehensive income except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity. Current tax is the expected tax payable/income for the period, using tax rates enacted or substantively enacted at the statement of financial position date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amounts of assets and liabilities, using tax rates enacted or substantively enacted at the statement of financial position date. Deferred tax is not discounted.

Foreign currencies
Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the statement of financial position date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Employee benefit costs
Eligible employees of the company are members of the Football League Limited Pensions and Life Assurance Scheme. The company does not make any contributions to this scheme. The assets and liabilities of the scheme are managed independently of the company and therefore do not form part of these financial statements.

continued...

1. **Accounting policies - continued**

Leases
At inception, the company assesses whether a contract is, or contains, a lease within the scope of IFRS 16. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Where a tangible asset is acquired through a lease, the company recognises a right-of-use asset and a lease liability at the lease commencement date. Right-of-use assets are included within tangible fixed assets, apart from those that meet the definition of investment property.

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs and an estimate of the cost obligations to dismantle, remove, refurbish or restore the underlying asset and the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of the right-of-use assets are determined on the same basis as those of other tangible fixed assets. The right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are unpaid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the company's incremental borrowing rate. Lease payments included in the measurement of the lease liability comprise fixed payments, variable lease payments that depend on an index or a rate, amounts expected to be payable under a residual value guarantee, and the cost of any options that the company is reasonably certain to exercise, such as the exercise price under a purchase option, lease payments in an option renewal period, or penalties for early termination of a lease.

The lease liability is measured at amortised cost using the effective interest method. It is re-measured when there is a change in: future lease payments arising from a change in an index or rate; the company's estimate of the amount expected to be payable under a residual value guarantee; or the company's assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The company has elected not to recognise right-of-use assets and lease liabilities for short-term leases of machinery that have a lease term of 12 months or less, or for leases of low-value assets including IT equipment. The payments associated with these leases are recognised in profit or loss on a straight-line basis over the lease term.

Leased assets
Where assets are financed by leasing arrangements that give rights approximating to ownership (finance leases), the assets are treated as if they had been purchased outright. The amount capitalised is the present value of the minimum lease payments payable over the term of the lease. The corresponding leasing commitments are shown as amounts payable to the lessor. Depreciation on the relevant assets is charged to the statement of comprehensive income over the shorter of estimated useful economic life and the period of the lease.

Lease payments are analysed between capital and interest components so that the interest element of the payment is charged to the statement of comprehensive income over the period of the lease and is calculated so that it represents a constant proportion of the balance of capital repayments outstanding. The capital part reduces that amounts payable to the lessor.

All other leases are treated as operating leases. Their annual rentals are charged to the statement of comprehensive income on a straight-line basis over the term of the lease.

Loyalty and other incentives
The cost of loyalty and other incentives is part of the fair value of the consideration received, is recognised in the period that the awards are earned and is treated as a deduction from revenue. The fair value of the points awarded is determined with reference to the fair value of the customer.

Goodwill
Goodwill arising on acquisition of a subsidiary undertaking is the difference between the fair value of the consideration paid and the fair value of the assets and liabilities acquired. Goodwill is capitalised and amortised through the statement of comprehensive income over the directors estimate of its useful economic life.

continued...

1. **Accounting policies - continued**

Intangible fixed assets: cost and amortisation of acquired players' registrations
The costs associated with the acquisition of players' registrations are initially recorded at fair value at the date of acquisition. These costs are fully amortised over the period of the respective players' contracts, being between 1 and 5 years. A provision is made in accruals, for additional payments where in management's opinion, the club or player is likely to achieve the requirements for these additional payments. Where the outcome of these requirements is uncertain, additional payments are not made as a provision but the maximum amounts payable is disclosed as a contingent liability (note 23). Agent fees incurred relating to services provided to the club are capitalised as part of intangible assets.

Agent fees incurrent in relation to services provided to the player but paid on their behalf by the club are treated as a prepayment and unwound over a period to match the length of the player's contract. This release is to the wages and salaries cost within the consolidated statement of comprehensive income rather than to player amortisation.

Amortisation of the costs of player registrations is charged to the statement of comprehensive income on a straight-line basis over the contract life of each individual player.

Impairment of intangible and tangible fixed assets
An impairment review on the intangible assets is undertaken if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The club compares the carrying amount of the asset with its recoverable amount. The club does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own. Furthermore, the club also considers that all of the players are unable to generate cash flows even when considered together. Accordingly the club considers the smallest cash-generating unit to contain all first team players, the stadium and the training facilities.

The club calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows relating to the club activities and compare this value with the value of the intangible assets, stadium and training facilities (including related assets). If the expected future cash flows are below the recorded value assets the club will make an impairment adjustment of assets on a pro-rata basis.

In certain instances, there may be an individual player or group of players whom the club does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or planned sale for proceeds below carrying value. In this situation, the carrying value of the player or group of players is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead these players will be assessed for impairment in isolation by considering their carrying value with the clubs best estimate of their fair value less costs to sell.

Further details are given in note 8.

Investments
Investments in subsidiaries are initially measured at cost and subsequently measured at cost less impairment. The investments are assessed for impairment at each reporting date.

Net financing costs
Net financing costs comprise interest payable on borrowings, calculated using the effective interest rate method and interest receivable on funds invested. The discounting of the deferred payments for the purchase of players' registrations produces a notional interest payable and this is charged to finance costs.

Signing on fees
Signing on fees are not recorded within the costs of acquired players' registrations but are held within prepayments on the statement of financial position and charged to results on a straight line basis over the period of each player's contract.

Inventories
Inventories are recorded at the lower of cost and net realisable value. Cost is based on the expenditure incurred in acquiring the stocks and bringing them to their existing location and condition. Net realisable value is based on the estimated selling price in the ordinary course of business. Provision is made for obsolete, slow-moving or defective items where appropriate.

continued...

1. **Accounting policies – continued**

Government grants
Grants and donations received in respect of safety work and ground developments are credited to deferred capital grants and are released to the statement of comprehensive income as the related expenditure is incurred.

Grants of a revenue nature are recognised in other operating income within profit or loss in the same period as the related expenditure. This includes the Government Coronavirus Job Retention Scheme ('Furlough').

Cash and equivalents
Cash and equivalents comprise cash balances and call deposits and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities in the statement of financial position.

Contract liabilities/deferred income
Contract liabilities/deferred income represent the unrecognised income in relation to match receipts.

Financial instruments
Financial assets and liabilities are recognised on the company's statement of financial position when the company becomes party to the contractual provisions of the instrument.

Financial assets
The company's financial assets relate to trade and other receivables and cash and cash equivalents. Trade and other receivables are classified as loans and receivables and are measured initially at fair value plus transaction costs and are carried subsequently at amortised cost under the effective interest method, less provision for any expected credit loss. Any change in their value through impairment or reversal of impairment is recognised in the statement of comprehensive income. There are no financial assets classified as fair value through the statement of comprehensive income or as held to maturity or available for sale.

All financial assets are assessed for indicators of impairment at each statement of financial position date. Financial assets are impaired where there is evidence that a loss has occurred and that estimated future cash flows of the financial asset have been impacted. Objective evidence of impairment for a portfolio of receivables could include a company's past experience of collecting payments, an increase in the delayed number of payments in the portfolio and the average credit period, as well as observed changes in the national or local economic conditions that correlate with default on receivables.

Financial liabilities
Financial liabilities which include bank loans, overdrafts and trade and other payables are measured initially at fair value net of transaction costs under the effective interest method and thereafter at amortised cost unless the effect of discounting would be immaterial, in which case they are stated at cost. Finance charges are accounted for on an accruals basis in the statement of comprehensive income using the effective interest method.

2. **Critical accounting judgements and key sources of estimation uncertainty**

The preparation of the financial statements in accordance with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, income and expense and which may differ from actual results. The key critical judgements are considered to be:-

1. Player transfer costs

Management have to make certain judgements as to whether a liability should be recognised under the terms of the contracts with other football clubs in respect of player transfers. These judgements include management's opinion, at the consolidated statement of financial position date, on the likely league status in the next season. It also requires certain judgements as to whether a player will continue to make the contractually agreed number of first team appearances. Based on these judgements, management decide on an individual player by player basis as to whether the liability is disclosed as a contingent liability in note 23 whether it becomes recognised as a liability in trade payables in the statement of financial position.

2. Intangible assets, tangible assets and impairment

Management are required to test whether intangible and tangible assets have suffered any impairment. The recoverable amount of cash generating units connected to the recorded value of these assets has been determined based on value in use estimates and compared to the book value to determine if an impairment provision is needed.

continued...

3. Revenue

The company has one main business segment, that of professional football operations. As a result, no additional business segment information is required to be provided. It operates in one geographical segment, in the United Kingdom, and accordingly no additional geographical segmental information is required to be provided. A voluntary analysis of the revenue streams is given below to assist with an understanding of the business.

	2023	2022
	£	£
Match receipts	3,728,240	4,188,984
Broadcasting	9,065,225	8,375,292
Other commercial income	6,192,218	4,985,937
	18,985,683	17,550,213

Revenue from contracts with customers recognised at a point in time

	2023	2022
	£	£
Match receipts	1,609,357	1,414,909
Other commercial income	2,249,114	923,519
	3,858,471	2,338,428

Revenue from contracts with customers recognised over time

	2023	2022
	£	£
Match receipts	2,118,883	2,774,075
Broadcasting	9,065,225	8,375,292
Other commercial income	2,236,905	2,265,472
	13,421,013	13,414,839

Revenue from other sources

	2023	2022
	£	£
Other commercial income	1,706,199	1,796,946

Revenue streams comprise

Match receipts	Season and match day tickets.
Broadcasting	Television and broadcasting income, including distributions from the FA broadcasting agreements, cup competitions and local radio.
Other commercial income	Sponsorship income, corporate hospitality, merchandising, conference and banqueting and other sundry revenue.

4. Employees and directors

	2023	2022
	£	£
Wages and salaries	24,639,127	27,609,196
Social security costs	2,903,184	3,410,627
Other pension costs	85,506	92,357
	27,627,817	31,112,180

continued...

4. Employees and directors - continued

The average number of employees during the year was as follows:

	2023	2022
Playing staff	66	67
Training staff	70	64
Training ground	12	12
Commercial and fund-raising staff	30	26
Administration and other staff	31	23
	209	192

During the year, the company also employed approximately 105 temporary staff on match days (2022 - 115), the cost of which is included in the staff costs above.

Key management compensation

The remuneration of senior management during the year was as follows:

	2023	2022
	£	£
Remuneration for qualifying services	1,094,756	1,060,409
Pension costs	13,146	9,617
	1,107,902	1,070,026

Directors' remuneration

	2023	2022
	£	£
Remuneration for qualifying services	422,507	456,203
	422,507	456,203

No directors (2022 - none) are accruing benefits under defined contribution schemes.

Remuneration disclosed above include the following amounts paid to the highest paid director:

	2023	2022
	£	£
Remuneration for qualifying services	227,554	177,974

5. Net finance costs

	2023	2022
	£	£
Finance income:		
Notional interest on transfer fee receivables due after 1 year	123,022	495,266
Other interest receivable	178,382	251,330
	301,404	746,596

continued...

5. Net finance costs – continued

	2023 £	2022 £
Finance costs:		
Notional interest payable on transfer fee liabilities due after 1 year	189,157	274,972
Bank interest	166,828	295,422
Other interest	59,653	202,255
Interest on lease liabilities	876,214	982,733
	1,291,852	1,755,382
Net finance costs	990,448	1,008,786

6. Operating loss

Operating loss is stated after charging/(crediting) the following:

	2023 £	2022 £
Cost of inventories recognised as an expense	-	33,986
Depreciation – owned assets	428,761	498,400
Depreciation – leased assets	819,015	880,703
Players' registrations amortisation	3,478,760	6,277,062
Grant income received	-	(238,974)
COVID-19 grant income	-	(46,597)
EFL imputed loan interest, (net)	(166,828)	(239,000)
Insurance compensation arising on business interruption caused by COVID-19	-	2,763,727
Insurance claim arising on business interruption caused by fire damage	150,000	-
Foreign exchange retranslation	10,673	74,109
Auditors' remuneration	47,000	40,000
Auditors' remuneration - non-audit fees	5,000	5,000

continued...

7. Income tax

Analysis of tax expense
No liability to UK corporation tax arose for the year ended 30 June 2023 nor for the year ended 30 June 2022.

	2023 £	2022 £
Loss before income tax	(25,366,143)	(24,831,995)
Loss multiplied by the standard rate of corporation tax in the UK of 20.5% (2022 - 19%)	(5,200,059)	(4,718,079)
Effects of:		
Expenses not deductible for tax purposes	10,982	15,217
Capital allowances in excess of depreciation	(48,475)	(31,106)
Tax losses generated	5,237,552	4,733,968
Tax expense	-	-

Factors that may effect future tax charges
At 30 June 2023, the company has trading losses of £147,188,204 (2022 - £129,923,536) to carry forward and use against future trading profits. No deferred tax has been recognised in relation to these losses on the basis of uncertainty about the future taxable profits.

8. Intangible assets

	Players registrations £
Cost	
At 1 July 2022	30,441,747
Additions	3,046,958
Disposals	(4,141,561)
At 30 June 2023	29,347,144
Amortisation	
At 1 July 2022	24,061,548
Amortisation for year	3,478,760
Eliminated on disposal	(3,814,576)
At 30 June 2023	23,725,732
Net book value	
At 30 June 2023	5,621,412
At 30 June 2022	6,380,199

Any players whom the company do not consider to be a long term part of the first team squad and who will therefore not contribute to future cash flows earned by the company are assessed for impairment by considering the carrying value with the company's best estimate of fair value (being post year-end sales proceeds or expected sales proceeds) less costs to sell. The directors are satisfied that no further provision is required, even in the circumstances of the company remaining in the Football League Championship for the 2023/24 season.

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9. **Property, plant and equipment**

	Right of use asset Leasehold land and buildings £	Right of use asset Motor vehicles £	Right of use asset Fixtures and equipment £
Cost			
At 1 July 2022	8,969,144	134,470	230,884
Additions	-	-	-
Disposals	-	-	-
At 30 June 2023	8,969,144	134,470	230,884
Depreciation			
At 1 July 2022	1,667,951	91,838	194,254
Charge for year	746,289	36,159	36,567
Eliminated on disposal	-	-	-
At 30 June 2023	2,414,240	127,997	230,821
Net book value			
At 30 June 2023	6,554,904	6,473	63
At 30 June 2022	7,301,193	42,632	36,630

	Leasehold land and buildings £'000	Fixtures and equipment £'000	Motor vehicles £'000	Asset under construction £'000	Totals £'000
Cost					
At 1 July 2022	4,989,531	2,460,464	206,509	-	16,991,002
Additions	794,254	394,758	33,255	1,655,300	2,877,567
Disposals	-	-	-	-	-
At 30 June 2023	5,783,785	2,855,222	239,764	1,655,300	19,868,569
Depreciation					
At 1 July 2022	2,082,233	1,969,735	194,788	-	6,200,799
Charge for year	196,260	222,778	9,723	-	1,247,776
Eliminated on disposal	-	-	-	-	-
At 30 June 2023	2,278,493	2,192,513	204,511	-	7,448,575
Net book value					
At 30 June 2023	3,505,292	662,709	35,253	1,655,300	12,419,994
At 30 June 2022	2,907,298	490,729	11,721	-	10,790,203

continued...

10. **Investments**

	Shares in group undertakings £
Cost	
At 1 July 2022 and 30 June 2023	1
Net book value	
At 30 June 2023	1
At 30 June 2022	1

The company's investments at the Statement of Financial Position date in the share capital of companies include the following:

Birmingham City Women Football Club Limited
Registered office: St Andrew's Stadium, Birmingham, United Kingdom, B9 4RL
Nature of business: Football club

Class of shares:	% holding
Ordinary	100.00

11. **Inventories**

	2023 £	2022 £
Goods for resale	-	-

The amount of inventories recognised as an expense and included in operating expenses amounted to £Nil (2022 - £33,986).

12. **Trade and other receivables**

	2023 £	2022 £
Current:		
Trade debtors	3,123,903	7,427,901
Other debtors	5,305,751	6,246,805
Prepayments and accrued income	1,866,502	2,761,984
	10,296,156	16,436,690
Non-current:		
Trade debtors	973,097	636,924
Prepayments and accrued income	378,137	1,148,719
	1,351,234	1,785,643
Aggregate amounts	11,647,390	18,222,333

continued...

12. **Trade and other receivables - continued**

Included within trade receivables is £2,267,507 (2022 - £6,277,277) in respect of transfer fees receivable, of which £973,097 (2022 - £636,924) is receivable after more than one year. Included within prepayments is £1,561,492 (2022 - £2,515,924) in respect of agent fees and signing on fees, of which £378,137 (2022 - £1,148,719) is receivable after more than one year.

Trade receivables are individually assessed based on estimated recoverable amounts.

The average credit period taken on sales is 76 days (2022 - 145 days).

Ageing of past due but not impaired receivables, based on normal 30-day credit terms.

	2023	2022
	£	£
30 - 90 days	155,285	49,827
90 - 120 days	34,207	55,272
120 - 180 days	-	-
180 days +	1,628,964	1,831,135
Total	1,818,456	1,936,234

Movement in bad and doubtful debt provisions

	2023	2022
	£	£
Balance brought forward	245,014	191,918
Amounts recovered	-	(127,474)
Written off	-	-
Amounts provided	127,656	180,570
Balance carried forward	372,670	245,014

The company applies the simplified approach under IFRS 9 to provide expected credit losses using the lifetime expected loss provision for all trade receivables. To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. The expected credit losses also incorporate forward looking information.

At 30 June 2023	**Current**	**Less than 90 days past due**	**Over 90 days past due**	**Totals**
	£	£	£	£
Expected loss rate	-	-	22.9%	-
Receivables amount	2,651,214	189,492	1,628,964	4,469,670
Loss allowance	-	-	(372,670)	(372,670)
Total	2,651,214	189,492	1,256,294	4,097,000

At 30 June 2022	**Current**	**Less than 90 days past due**	**Over 90 days past due**	**Totals**
	£	£	£	£
Expected loss rate	-	-	11.5%	-
Receivables amount	6,128,591	49,827	2,131,421	8,309,839
Loss allowance	-	-	(245,014)	(245,014)
Total	6,128,591	49,827	1,886,407	8,064,825

The directors consider the carrying amount of trade and other receivables approximates to their fair value.

continued...

13. Cash and cash equivalents

	2023	2022
	£	£
Cash in hand	97,999	99,099
Bank accounts	1,535,008	1,352,155
	1,633,007	1,451,254

14. Called up share capital

Allotted, issued and fully paid:

Number:	Class:	2023	2022
		£	£
117,661,676	(2022: 117,661,676) Ordinary shares of 50p each	58,830,838	58,830,838
		58,830,838	58,830,838

15. Reserves

	Profit and loss £'000	Share premium £'000	Capital redemption reserve £'000	Other reserves £'000	Capital contribution reserve £'000	Totals £'000
At 1 July 2022	(127,750,231)	207,096	750	14,731,066	-	(112,811,319)
Deficit for the year	(25,366,143)	-	-	-	-	(25,366,143)
Capital contribution received	-	-	-	-	7,970,000	7,970,000
At 30 June 2023	(153,116,374)	207,096	750	14,731,066	7,970,000	(130,207,462)

16. Trade and other payables

	2023	2022
	£	£
Current:		
Trade creditors	5,621,109	5,652,921
Social security and other taxes	496,977	1,004,885
Other creditors	9,291	20,476
Accruals and deferred income	1,717,290	2,240,181
	7,844,667	8,918,463
Non-current:		
Trade creditors	2,169,948	1,602,557
Accruals and deferred income	-	737,932
	2,169,948	2,340,489
Aggregate amounts	10,014,615	11,258,952

continued...

16. **Trade and other payables - continued**

Included within trade payables is £4,434,773 (2022 - £3,512,672) in respect of actual and probable transfer fees payable and agent's fees payable, of which £2,094,948 (2022 - £1,198,935) is payable after more than one year. Included within accruals is £737,932 (2022 - £1,546,864) in respect of signing on fees payable, of which £Nil (2022 - £737,932) is payable after more than one year.

Ageing of trade payables included in current liabilities is set out below:

	2023 £	2022 £
0 - 30 days	2,099,084	1,224,253
30 - 90 days	668,709	814,346
90 - 180 days	357,534	849,374
180 days +	2,495,782	2,764,948
Total	5,621,109	5,652,921

Trade payables and accruals principally comprise amounts outstanding for trade purchases and ongoing costs and are payable within 2 months. The average credit period taken for trade purchases is 147 days (2022 - 55 days).

17. **Financial liabilities - borrowings**

	2023 £	2022 £
Current:		
Bank loans	-	4,673,209
Other loans	3,145,165	3,229,178
Amounts owed to parent company	80,060,474	58,651,276
Leases (see note 18)	529,729	539,522
	83,735,368	67,093,185
Non-current:		
Other loans - 1-2 years	-	2,720,425
Preference shares	18,500	18,500
Leases (see note 18)	6,696,562	7,226,291
	6,715,062	9,965,216

Terms and debt repayment schedule

	1 year or less £	1-2 years £	2-5 years £	More than 5 years £	Totals £
Bank loans	-	-	-	-	-
Other loans	3,145,165	-	-	-	3,145,165
Amounts owed to parent company	80,060,474	-	-	-	80,060,474
Preference shares	-	-	-	18,500	18,500
Leases	529,729	474,368	2,051,316	4,170,878	7,226,291
	83,735,368	474,368	2,051,316	4,189,378	90,450,430

continued...

17. **Financial liabilities - borrowings - continued**

The preference shares are shown as debt rather than equity. The Company may redeem cumulative preference shares at par at any time upon giving not less than three months previous notice in writing to the holders of the cumulative preference shares. On an earlier winding up, the cumulative preference shares carry priority over the ordinary shares to the extent of their par value plus any arrears of dividends (which are cumulative for a period of three years). The preference shares carry no votes except on a winding up or on variations of their rights.

On 20 March 2020, the Company and the EFL entered into a loan facility agreement, pursuant to which the lender provided a loan facility of £584,000 to the Company. The loan is unsecured, and repayable in half-yearly instalments ending on 1 October 2023 and bears interest at a rate of 0% per annum. The loan becomes repayable on demand in the event of; a breach in the conditions, promotion to the Premier League or relegation to EFL Football League 1.

On 29 March 2021, the company and the Football League entered into a loan agreement, pursuant to which the Football League will provide a loan up to £8,330,000 (the "2022 Football Loan"). During the year ended 30 June 2023, £nil (2022: £1,041,250) was advanced to the company from the 2022 Football Loan, which were used for operating expenses. The 2021 Football Loan is unsecured and interest-free, pursuant to the loan agreement, the company has agreed to repay the 2021 Football Loan by six equal instalments in cash from August 2022 to January 2024. The fair value of the 2022 Football Loan was measured by computing the present value of estimate future cash flows at the effective interest rate of 5%. As at 30 June 2023, the fair value of the 2022 Football Loan was £2,720,365. The loan becomes repayable on demand in the event of; a breach in the conditions, promotion to the Premier League or relegation to EFL Football League 1.

On 20 January 2022, the company obtained new borrowings from a third party amounting to £230,000. The borrowings bear interest of 6% per annum and is repayable in full on 20 January 2024. As at the date of this report, the bank borrowings had been paid in full.

On 13 July 2023, the company's ultimate parent undertaking ZO announced that Knighthead Capital, through its affiliate Shelby Companies Limited had acquired 45.98% of the issued share capital of the immediate parent Birmingham City Limited (BCL). Knighthead Capital acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from ORIL.

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%).

As part of the Share Purchase Agreement (SPA), it was agreed that a debt reorganisation would take place immediately before completion. The Deed of Debt Reorganisation was entered into between ZO, ORIL and BCL, the debt assignment of £22.5m owing from BCL to ORIL and was reassigned to ZO for the consideration of £1. Following the debt assignment BCL had outstanding loan balances of £109.1m due to ZO, of which £100m of the amount owing from BCL to ZO was capitalised into one ordinary share of £0.10 each. The remaining amount was assigned to Knighthead. The amounts outstanding between BCFC and BCL remain unchanged.

18. **Lease liability**

	2023	2022
	£	£
Current	529,729	539,522
Non current	6,696,562	7,226,291
	7,226,291	7,765,813

Maturity analysis

	2023	2022
	£	£
Not later than one year	529,729	539,522
Later than one year and not more than five years	2,525,684	2,525,684
Later than five years	4,170,878	4,700,607
	7,226,291	7,765,813

continued...

19. Deferred taxation

	2023 £	2022 £
Deferred tax comprises:		
Depreciation in excess of capital allowances	891,896	479,344
Losses carried forward	36,797,051	32,480,884
Assets not recognised	(37,688,947)	(32,960,228)
	-	-

The potential asset is based on a corporation tax rate of 25% (2022 – 25%). No deferred tax asset has been recognised at 30 June 2023 on the basis that future recoverability of such an asset is uncertain.

20. Financial instruments

Capital risk management
The company manages its capital to ensure that the company will be able to continue as a going concern through the optimisation of the debt and equity balance. The capital structure of the company consists of debt, which includes the borrowings disclosed in note 17, cash and cash equivalents and equity attributable to equity holders of the parent, comprising issued share capital, reserves and retained earnings.

The company is not subject to externally imposed capital requirements, other than the minimum capital requirements and duties regarding reduction of capital, as imposed by the Companies Act 2006 on all public limited companies.

Categories of financial instruments

	2023 £	2022 £
Financial assets:		
Cash and cash equivalents	1,633,007	1,451,254
Trade and other receivables (note 12)	11,647,390	18,222,333
	13,280,397	19,673,587
Financial liabilities:		
Trade and other payables held at amortised cost	8,297,325	8,280,839
Borrowings at amortised costs (note 17)	90,450,430	77,058,401
	98,747,755	85,339,240

The fair value of the financial instruments set out above is not different to the book value. The above financial liabilities do not include accruals.

Financial risk management objectives
Management monitor and manage the financial risks relating to the operations of the company through internal risk reports. These risks include currency risk, interest rate risk, credit risk, liquidity risk and cash flow interest rate risk.

Where the company considers the impact arising from one or more of these risks to be potentially material to the company's financial position, derivative financial instruments are used to reduce risk exposure. The use of financial derivatives requires the prior approval of the board. The company does not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

Price risk
The company has no significant exposure to securities price risk, as it holds no listed equity investments.

Foreign currency risk
The company has no significant exposure in its trading subsidiary to the risk of changes in foreign currency exchange rates.

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20. Financial instruments - continued

Credit risk

The company's principal financial assets are bank balances, cash and trade receivables. The company's credit risk is primarily attributable to its trade receivables. Credit risk is managed by monitoring the aggregate amount and duration of exposure to any one customer depending upon their credit rating. The amounts presented in the statement of financial position are net of allowances for doubtful debts, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies. The company has no significant concentration of credit risk, with exposure spread over a large number of counterparties and customers.

Liquidity risk

The company's policy has been to ensure continuity of funding through operating within its banking facilities and to match borrowing against the useful life of assets purchased. Longer term liquidity is achieved through funding provided by the ultimate holding company and the need for ongoing funding is confirmed in the Strategic Report and Accounting Policies (note 1). The directors manage liquidity risk through close and frequent discussions with the ultimate holding company and have received assurances that funding is in place at least until 28 February 2025.

The company's financial liabilities have contractual maturities summarised below.

30 June 2023	Current	Non-current	
	within 1 year	1 to 5	Over 5 years
	£	£	£
Preference shares	-	-	18,500
Other loans	3,145,165	-	-
Bank loans	-	-	-
Due to group undertakings	80,060,474	-	-
Leases	529,729	2,525,684	4,170,878
Trade and other payables and social security and taxes	6,127,377	2,169,948	-
	89,862,745	4,695,632	4,189,378

30 June 2022	Current	Non-current	
	within 1 year	1 to 5	Over 5 years
	£	£	£
Preference shares	-	-	18,500
Other loans	3,229,178	2,720,425	-
Bank loans	4,673,209	-	-
Due to parent company	58,651,276	-	-
Leases	539,521	3,483,334	3,742,958
Trade and other payables and social security and taxes	6,678,282	1,602,557	-
	73,771,466	7,806,316	3,761,458

Interest rate sensitivity analysis

If interest rates had been 1% higher/lower and all other variables were held constant, the company's result for the year ended 30 June 2023 would not be materially affected.

21. Pension commitments

	2023	2022
Defined contribution schemes	£	£
Charge to the statement of comprehensive income in respect of defined contribution schemes	85,506	92,357

The company operates a defined contribution pension scheme for all qualifying employees. the assets of the scheme are held separately from those of the company in an independently administered fund.

continued...

22. Ultimate parent company and parent undertaking of larger group

The immediate parent company of the club is Birmingham City Limited, a company incorporated in England and Wales.

The largest group in which the results of the company are consolidated is that headed by ZO Future Group ("ZO), formerly known as Birmingham Sports Holdings Limited ("BSHL"), a company incorporated in the Cayman Islands and listed on The Stock Exchange of Hong Kong Limited. The consolidated accounts of this company are available to the public and may be obtained from the website of The Stock Exchange of Hong Kong Limited. The smallest group accounts available is that headed by Birmingham City Limited.

23. Contingent liabilities

Under the terms of certain contracts with players and other football clubs, additional amounts would become payable if certain specific conditions arise after 30 June 2023. The directors have taken the view that these amounts are not certain enough to be recorded as a provision but note that the maximum that could be payable in respect of these items is £9,360,932 (2022 - £7,320,864). Since the year end and to the date of approval of these financial statements £Nil of these amounts have crystallised.

24. Related party disclosures

The group has taken advantage of the exemption conferred within IAS 24 not to disclose transactions between wholly owned members of the same group.

Any directors or senior employees who have authority and responsibility for controlling the activities of the group are considered to be key management personnel. Total remuneration in respect of these individuals is disclosed in note 4.

During the year, BCFC paid rent to BCSL amounting to £1,250,000 and included in other debtors at 30 June 2023 is an amount of £3,868,000 (2022: £4,893,000) due to BCFC. Interest is charged at a rate of 4.5% per annum from 1 April 2021, total interest receivable for the year was £178,382 (2022 - £234,632).

continued...

25. **Notes supporting the statement of changes in equity**

Share capital and share premium -
Share capital records the nominal value of shares in issue and the share premium records the receipts from issue of share capital above the nominal value of the shares, net of direct issue costs.

Capital redemption reserve -
Capital redemption reserves represents a non-distributable reserve in relation to shares which have been brought back by the company.

Other reserves -
Other reserves represent the waiver of a loan balance due to the club's immediate parent company Birmingham City Limited.

Profit and loss account -
The profit and loss account records the cumulative profits less losses recognised in the Statement of Comprehensive Income, net of any distributions and share-based payments made.

Capital contribution reserve -
This reserve represents a loan from a shareholder which has been waivered and thus creating a capital contribution.

26. **Events after the balance sheet date**

Transfers of player registrations subsequent to 30 June 2023, taking into account applicable costs, resulted in a net £2,237,653 payable by the company (2022 - £1,318,875 payable to the company).

On 13 July 2023, the company's ultimate parent undertaking ZO announced that Knighthead Capital, through its affiliate Shelby Companies Limited had acquired 45.98% of the issued share capital of the immediate parent Birmingham City Limited (BCL). Knighthead Capital acquired 24.34% of the shares in BCL from ZO and 21.64% of the shares in BCL from ORIL.

Following the changes outlined above, significant shareholders of BCL are ZO (51.72%) and Knighthead (45.98%). As part of the Share Purchase Agreement (SPA), it was agreed that a debt reorganisation would take place immediately before completion. The Deed of Debt Reorganisation was entered into between ZO, ORIL and BCL, the debt assignment of £22.5m owing from BCL to ORIL and was reassigned to ZO for the consideration of £1. Following the debt assignment BCL had outstanding loan balances of £128.3m due to ZO, of which £100m of the amount owing from BCL to ZO was capitalised into one ordinary share of £0.10 each. The remaining amount was assigned to Knighthead. The amounts outstanding between BCFC and BCL remain unchanged.

There has also been significant infrastructure improvement work taking place at St. Andrews Stadium, Wast Hills training ground and the Elite Performance & Innovation Centre. This has amounted to £8.3m of spend post year end.

On 11 October 2023, Wayne Rooney was appointed as the Manager of the Football Club, following the departure of John Eustace on 9 October 2023.

On 8 January 2024, Tony Mowbray was appointed as the Manager of the Football Club, following the departure of Wayne Rooney on 2 January 2024.